KCB GROUP PLC AUDITED RESULTS AND OTHER DISCLOSURES

FOR THE YEAR ENDED 31ST DECEMBER 2017

	BANK		KCB GROUP PLC -COMPANY		KCB GROUP PLC-CONSOLIDATED	
	31-Dec-16 Kshs 000 Audited	31-Dec-17 Kshs 000 Audited	31-Dec-16 Kshs 000 Audited	31-Dec-17 Kshs 000 Audited	31-Dec-16 Kshs 000 Audited	31-Dec-17 Kshs 000 Audited
I STATEMENT OF FINANCIAL POSITION						
A ASSETS						
1 Cash (both Local & Foreign)	8,085,113	8,186,847	-	-	11,374,751	11,288,063
2 Balances due from Central Bank of Kenya	18,055,378	17,802,484	-	-	18,055,378	17,802,484
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5 Investment securities: a) Held to Maturity: a. Kenya Government securities	32,520,671	28,884,760	-	-	32,520,671	28,884,760
b. Other securities	-	-	-	-	7,981,800	9,379,729
b) Available for sale: a. Kenya Government securities	58,466,646	63,218,044	56,719	53,016	58,466,646	63,511,079
b. Other securities	-	2,489,208	-	-	3,501,732	8,231,770
6 Deposits and balances due from local banking institutions	1,627,573	8,030,307	951,009	887,927	1,627,573	8,030,307
7 Deposits and balances due from banking institutions abroad	4,466,863	5,074,613	-	-	41,879,570	35,304,595
8 Tax recoverable	-	174,568	-	68,639	216,993	523,785
9 Loans and advances to customers (net)	353,900,051	387,942,858	-	-	385,745,331	422,684,637
10 Balances due from group companies	436,130	1,150,511	807,828	8,568,354	-	-
11 Investments in associates	-	-	125	125	-	-
12 Investments in subsidiary companies	-	-	67,130,100	67,648,850	-	-
13 Investments in joint ventures	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-
15 Property and equipment	6,036,804	6,194,697	564,597	562,147	9,372,955	10,454,253
16 Prepaid lease rentals	132,006	129,509	-	-	134,046	132,246
17 Intangible assets	3,046,237	3,180,796	-	-	3,166,913	3,371,113
18 Deferred tax asset	3,072,191	3,891,204	-	-	3,732,100	4,824,432
19 Retirement benefit asset	811,000	1,018,000	-	-	811,000	1,018,000
20 Other assets	14,121,012	18,261,905	-	20,051	16,652,184	21,227,685
21 TOTAL ASSETS	**504,777,675**	**555,630,311**	**69,510,378**	**77,809,109**	**595,239,643**	**646,668,939**
B LIABILITIES						
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-
23 Customer deposits	386,611,187	440,164,316	-	-	448,173,797	499,549,179
24 Deposits and balances due to local banking institutions	5,500,000	4,120,966	-	-	5,500,000	4,120,966
25 Deposits and balances due to foreign banking institutions	122,729	1,112,877	-	-	7,622,786	6,917,784
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	20,563,556	10,579,000	-	7,755,000	22,982,348	14,895,208
28 Balances due to group companies	-	-	-	69,833	-	-
29 Tax payable	531,825	-	36,153	-	870,488	265,629
30 Dividends payable	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	1,751	166,150	159,962
32 Retirement benefit liability	-	-	-	-	-	-
33 Other liabilities	10,458,489	10,662,237	739,845	1,266,666	13,358,299	14,794,338
34 TOTAL LIABILITIES	**423,787,786**	**466,639,396**	**775,998**	**9,093,250**	**498,673,868**	**540,703,066**
C SHAREHOLDERS' FUNDS						
35 Paid up /Assigned capital	53,986,000	53,986,100	3,066,057	3,066,057	3,066,057	3,066,057
36 Share premium/(discount)	-	-	21,646,777	21,646,777	21,646,776	21,646,777
37 Revaluation reserves	(1,134,529)	(22,115)	(20,024)	(23,727)	(1,148,761)	134,217
38 Retained earnings/ Accumulated losses	9,681,661	19,147,259	34,843,570	37,894,638	53,248,897	63,394,145
39 Statutory loan loss reserve	8,964,457	9,556,900	-	-	10,240,506	11,208,263
40 Other Reserves/Re-measurement of defined benefit asset/liability	314,300	384,300	-	-	314,300	384,300
41 Proposed dividends	9,178,000	5,938,471	9,198,000	6,132,114	9,198,000	6,132,114
42 Capital grants	-	-	-		-	-
43 TOTAL SHAREHOLDERS' FUNDS	**80,989,890**	**88,990,915**	**68,734,380**	**68,715,859**	**96,565,775**	**105,965,873**
44 Minority Interest						
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**504,777,675**	**555,630,311**	**69,510,378**	**77,809,109**	**595,239,643**	**646,668,939**

KCB GROUP PLC AUDITED RESULTS AND OTHER DISCLOSURES

FOR THE YEAR ENDED 31ST DECEMBER 2017

	BANK		KCB GROUP PLC -COMPANY		KCB GROUP PLC-CONSOLIDATED	
II STATEMENT OF COMPREHENSIVE INCOME						
	31-Dec-16 Kshs 000 Audited	**31-Dec-17 Kshs 000 Audited**	**31-Dec-16 Kshs 000 Audited**	**31-Dec-17 Kshs 000 Audited**	**31-Dec-16 Kshs 000 Audited**	**31-Dec-17 Kshs 000 Audited**
1 INTEREST INCOME						
1.1 Loans and advances	46,484,722	46,157,471	-	579,817	51,208,848	50,818,258
1.2 Government securities	9,134,775	10,493,819	-	-	10,866,512	12,365,068
1.3 Deposits and placements with banking institutions	559,038	292,871	-	-	696,275	489,770
1.4 Other Interest Income	649	-	-	-	34,439	-
1.5 Total interest income	**56,179,184**	**56,944,161**	**-**	**579,817**	**62,806,074**	**63,673,096**
2 INTEREST EXPENSE						
2.1 Customer deposits	12,391,402	11,754,008	-	-	14,481,365	13,615,312
2.2 Deposits and placement from banking institutions	862,815	1,074,761	-	527,240	1,298,065	1,673,011
2.3 Other interest expenses	-	-	-	-	-	-
2.4 Total interest expenses	**13,254,217**	**12,828,769**	**-**	**527,240**	**15,779,430**	**15,288,323**
3 NET INTEREST INCOME/(LOSS)	**42,924,967**	**44,115,392**	**-**	**52,577**	**47,026,644**	**48,384,773**
4 OTHER OPERATING INCOME						
4.1 Fees and commissions on loans and advances	4,621,797	5,199,528	-	-	6,560,093	5,595,408
4.2 Other fees and commissions	4,468,925	5,492,435	-	-	6,064,473	9,099,026
4.3 Foreign exchange trading income	2,204,062	2,928,408	-	6,205	5,493,696	4,665,498
4.4 Dividend Income	-	362	87,233	12,416,780	-	362
4.5 Other income	3,965,077	3,265,556	120,509	116,475	4,331,744	3,640,515
4.6 Total other operating income	**15,259,861**	**16,886,289**	**207,742**	**12,539,460**	**22,450,006**	**23,000,810**
5 TOTAL OPERATING INCOME	**58,184,828**	**61,001,681**	**207,742**	**12,592,037**	**69,476,650**	**71,385,583**
6 OTHER OPERATING EXPENSES						
6.1 Loan loss provision	3,759,049	4,978,786	-	-	3,823,759	5,914,321
6.2 Staff costs	14,560,447	16,408,400	249,013	45,953	17,719,037	19,146,769
6.3 Directors' emoluments	113,978	115,645	44,617	91,390	283,722	275,894
6.4 Rental charges	721,563	800,310	-	-	1,247,256	1,520,172
6.5 Depreciation charge on property and equipment	1,240,066	1,361,963	2,791	2,791	1,598,776	1,707,172
6.6 Amortisation charges	760,744	999,307	-	-	829,460	1,082,508
6.7 Other operating expenses	8,546,656	8,865,315	-	163,310	14,883,515	12,624,545
6.8 Total other operating expenses	**29,702,503**	**33,529,726**	**296,421**	**303,444**	**40,385,525**	**42,271,381**
7 Profit/(loss) before tax and exceptional items	**28,482,325**	**27,471,955**	**(88,679)**	**12,288,593**	**29,091,125**	**29,114,202**
8 Exceptional items	-	-	-	-	-	-
9 Profit/(loss) after exceptional items	**28,482,325**	**27,471,955**	**(88,679)**	**12,236,830**	**29,091,125**	**29,114,202**
10 Current tax	(8,591,333)	(9,562,422)	-	(37,423)	(9,171,465)	(10,142,554)
11 Deferred tax	(111,678)	1,325,767	(36,153)	(1,751)	(197,213)	733,483
12 Profit/(loss) after tax and exceptional items	**19,779,314**	**19,235,300**	**(124,832)**	**12,197,656**	**19,722,447**	**19,705,131**
13 Minority Interest	**-**	**-**	**-**		**-**	**-**
14 Profit/(loss) after tax and exceptional items and Minority Interest	**19,779,314**	**19,235,300**	**(124,832)**	**12,197,656**	**19,722,447**	**19,705,131**
15 Other Comprehensive income:						
15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-		-	76,889	(1,473,751)
15.2 Fair value changes in available-for-sale financial assets	(108,355)	1,589,163	-	-	209,253	3,912,705
15.3 Re-measurement of defined benefit pension fund	(297,000)	100,000	-	-	(297,000)	100,000
15.4 Share of other comprehensive income of associates	-	-	-	-	-	-
15.5 Income tax relating to components of other comprehensive income	121,606	(506,749)	-	-	98,324	(579,746)
16 Other comprehensive income for the year net of tax	**(283,749)**	**1,182,414**	**-**	**-**	**87,466**	**1,959,208**
17 Total comprehensive income for the year	**19,495,565**	**20,417,714**	**(124,832)**	**12,201,887**	**19,809,913**	**21,664,339**
18 EARNINGS PER SHARE- DILUTED & BASIC KSHS	**0.37**	**0.36**	**-0.04**	**3.98**	**6.43**	**6.43**
19 DIVIDEND PER SHARE - DECLARED KSHS	**0.17**	**0.17**	**3.00**	**3.00**	**3.00**	**3.00**

KCB GROUP PLC AUDITED RESULTS AND OTHER DISCLOSURES

FOR THE YEAR ENDED 31ST DECEMBER 2017

III OTHER DISCLOSURES	BANK		KCB GROUP PLC -COMPANY		KCB GROUP PLC-CONSOLIDATED	
	31-Dec-16 Kshs 000 Audited	31-Dec-17 Kshs 000 Audited	31-Dec-16 Kshs 000 Audited	31-Dec-17 Kshs 000 Audited	31-Dec-16 Kshs 000 Audited	31-Dec-17 Kshs 000 Audited
1 NON-PERFORMING LOANS AND ADVANCES						
a) Gross Non-performing loans and advances	28,333,247	34,181,590	-	-	31,812,856	37,496,454
b) Less Interest in Suspense	4,210,013	4,775,864	-	-	4,609,881	5,125,304
c)Total Non-Performing Loans and Advances (a-b)	**24,123,234**	**29,405,726**	**-**	**-**	**27,202,975**	**32,371,150**
d) Less Loan Loss Provision	14,921,244	18,947,410	-	-	16,460,084	20,350,677
e) Net Non-Performing Loans and Advances(c-d)	**9,201,990**	**10,458,316**	**-**	**-**	**10,742,891**	**12,020,472**
f) Discounted Value of Securities	9,362,800	9,717,172	-	-	9,455,231	12,645,119
g) Net NPLs Exposure (e-f)	**(160,810)**	**741,144**	**-**	**-**	**1,287,660**	**(624,647)**
2 INSIDER LOANS AND ADVANCES						
a) Directors, Shareholders and Associates	5,143,843	2,476,014	-	-	4,818,059	2,512,857
b) Employees	11,944,993	11,348,411	-	-	12,738,369	12,231,711
c)Total Insider Loans and Advances and other facilities	**17,088,836**	**13,824,425**	**-**	**-**	**17,556,428**	**14,744,567**
3 OFF-BALANCE SHEET ITEMS						
a)Letters of credit,guarantees, acceptances	52,197,440	60,424,701	-	-	54,949,849	64,846,078
b) Forwards, swaps and options	5,687,611	13,215,932	-	-	6,114,779	15,004,860
c) Other contingent liabilities					-	-
d)Total Contingent Liabilities	**57,885,051**	**73,640,633**	**-**	**-**	**61,064,628**	**79,850,938**
4 CAPITAL STRENGTH						
a)Core capital	62,434,393	71,969,993	-	-	78,296,030	85,245,565
b) Minimum Statutory Capital	1,000,000	1,000,000	-	-	6,713,989	6,691,313
c)Excess (a-b)	**61,434,393**	**70,969,993**	-	-	**71,582,041**	**78,554,252**
d) Supplementary Capital	13,080,489	6,049,827	-	-	14,109,324	6,928,786
e) Total Capital (a+d)	**75,514,882**	**78,019,820**	-	-	**92,405,354**	**92,174,351**
f)Total risk weighted assets	430,839,082	483,986,168	-	-	513,145,932	554,302,907
g) Core Capital/Total deposits Liabilities	**16.1%**	**16.4%**	-	-	**17.5%**	**17.1%**
h) Minimum statutory Ratio	8.0%	8.0%	-	-	8.0%	8.0%
I) Excess	8.1%	8.4%	-	-	9.5%	9.1%
j) Core Capital / total risk weighted assets	**14.5%**	**14.9%**	-	-	**15.3%**	**15.4%**
k) Minimum Statutory Ratio	10.5%	10.5%	-	-	10.5%	10.5%
l) Excess (j-k)	4.0%	4.4%	-	-	4.8%	4.9%
m) Total Capital/total risk weighted assets	**17.5%**	**16.1%**	-	-	**18.0%**	**16.6%**
n) Minimum statutory Ratio	14.5%	14.5%	-	-	14.5%	14.5%
o) Excess (m-n)	3.0%	1.6%	-	-	3.5%	2.1%
5 LIQUIDITY						
a) Liquidity Ratio	**30.3%**	**28.5%**	-	-	**37.5%**	**29.0%**
b) Minimum Statutory Ratio	20.0%	20.0%	-	-	20.0%	20.0%
c) Excess (a-b)	**10.3%**	**8.5%**	-	-	**17.5%**	**9.0%**

DIVIDEND

The Directors note that an interim dividend of Shs. 1 per ordinary share of the company was paid on 31 October, 2017. The Directors have resolved to recommend to members at the forthcoming 47th Annual General Meeting a final dividend for the year ended 31st December, 2017 of Shs.2 per share to be paid on or about Friday, 29 June, 2018, to shareholders registered at the close of business on Monday, 30 April, 2018. The register of members will be closed for one day on Wednesday 2 May, 2018 for the purpose of processing the dividend register.

ANNUAL GENERAL MEETING

Notice is hereby given that the 47th Annual General Meeting of the shareholders of KCB Group PLC will be held on Friday, 27 April, 2018 at Kasarani Indoor Sports Arena.

MESSAGE FROM THE DIRECTORS

The above Statement of Financial Position and Statement of Comprehensive Income are extracts from the Group's, Bank's and company's financial statements which have been audited by KPMG-Kenya and received an unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.kcbgroup.com.They may also be accessed on the institutions head office located at Kencom House, Moi Avenue, Nairobi.

The financial statements were approved by the Board of Directors on Wednesday, 7 March, 2018, and were signed on its behalf by:

Ngeny Biwott-Group Chairman

Joshua Oigara- Group Chief Executive Officer and Managing Director

Joseph Kania-Secretary